

him are true connoisseurs and practitioners of the fine art of Dhandho. Whether you hail from Seattle, Omaha, or Marwar, the Dhandho framework to business pretty much trounces all others.

A final note on the Marwaris and their ingrained Dhandho ways. Recently, I had dinner with a good Marwari friend of mine, and I asked him how the stereotypical Marwari approaches investing capital in a venture? He said, quite nonchalantly, that Marwari businesspeople, even with only a fifth-grade education, simply expect all their invested capital to be returned in the form of dividends in no more than three years. They expect that, after having gotten their money back, their principal investment continues to be worth at least what they invested in it. They expect these to be ultra low-risk bets. Now, folks, this is really good stuff—they don't teach this at the Harvard Business School. If you simply used this Marwari formula before making any investments, let me assure you of two things:

1. You'd take a quick pass on most investments offered to you; and
2. Starting with very little capital, after a few decades you'll be very wealthy.

Enough said.

TRANSTECH DHANDHO

To add to the flavors of Dhandho, let's examine my own Dhandho experience. When I founded my first business, Transtech, Inc., I had virtually no money—there was about \$30,000 in my 401(k) retirement account at Tellabs and \$70,000 available in credit card limits on a number of credit cards that I signed up for in anticipation of starting my business.

I researched U.S. bankruptcy laws and I found that they were not too onerous. If the business went south and I was unable to cover my debts, I could declare personal bankruptcy and start over. It was a very similar situation to Papa Patel—there wasn't much downside because there wasn't much to lose. Also, when I resigned, my boss told me that they'd love to have me back anytime, and they were likely to give me a decent raise as well. All I had to lose was the \$30,000 in my 401(k) retirement account. I